

Procure-to-Pay (P2P) Quick Reference Guide

SAP S/4HANA – End User Guide

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1. Purpose

This Quick Reference Guide (QRG) provides end users with step-by-step instructions for the complete Procure-to-Pay (P2P) cycle in SAP S/4HANA.

The guide covers:

- Purchase Requisition (PR)
- Purchase Order (PO)
- Goods Receipt (GR)
- Invoice Verification (IV)
- Payment Processing
- Reporting & Tracking

2. P2P Process Overview

Business Need → Create Purchase Requisition (PR) → PR Approval Workflow → Convert PR to Purchase Order (PO) → Vendor Receives PO → Goods/Services Delivered → Post Goods Receipt (GR) → Vendor Invoice Received → Invoice Verification (MIRO) → Payment Processing → Procurement Complete

3. Create Purchase Requisition (PR) – T-Code: ME51N

Purpose: Used to request materials or services internally.

Steps:

1. Open SAP GUI
2. Enter transaction code ME51N
3. Select Document Type
4. Enter Material Number, Quantity, Delivery Date, Plant, Storage Location, Purchasing Group
5. Verify account assignment if required
6. Click Check
7. Click Save

Output: PR Number generated

4. Approve Purchase Requisition – T-Code: ME54N

Purpose: Manager or approver reviews and approves PR.

Steps:

1. Open ME54N
2. Enter PR Number
3. Review Quantity, Cost Center, Vendor Suggestions
4. Click Release
5. Save

5. Convert PR to Purchase Order – T-Code: ME21N

Purpose: Create Purchase Order for vendor procurement.

Steps:

1. Open ME21N
2. Select Vendor
3. Reference PR
4. Validate Pricing, Terms, Incoterms, Tax Details
5. Review delivery address
6. Save PO

Output: PO Number generated

6. Goods Receipt (GR) – T-Code: MIGO

Purpose: Record receipt of goods against PO.

Steps:

1. Open MIGO
2. Select Goods Receipt and Purchase Order
3. Enter PO Number
4. Verify Quantity, Batch Information, Storage Location
5. Check for damages or shortages
6. Post document

Output: Material Document created and Inventory updated

7. Invoice Verification – T-Code: MIRO

Purpose: Match vendor invoice against PO and GR.

3-Way Match: Purchase Order → Goods Receipt → Vendor Invoice

Steps:

1. Open MIRO
2. Enter Vendor Invoice Number, Invoice Date, Amount
3. Reference PO Number
4. Validate Quantity, Tax, Freight
5. Simulate
6. Post Invoice

Output: Accounting document generated

8. Payment Processing – T-Code: F110

Purpose: Execute vendor payments.

Steps:

1. System identifies due invoices
2. Payment proposal generated
3. Finance reviews exceptions
4. Payment run executed
5. Vendor paid via ACH, Wire, or Check

9. Track Procurement Documents

Purpose	T-Code
Display PR	ME53N
Display PO	ME23N
PO History	ME23N → PO History Tab
Vendor Invoice Display	MIR4
Material Document Display	MB03

10. Common End User Issues

Issue	Action
PO not approved	Check workflow status
Invoice blocked	Validate GR and pricing
GR reversal needed	Use MIGO cancellation
Incorrect vendor	Contact procurement team
Duplicate invoice	Verify invoice reference

12. Key SAP Roles in P2P

Role	Responsibility
Requestor	Creates PR
Approver	Approves PR
Buyer	Creates PO
Warehouse User	Posts GR

AP Analyst	Processes Invoice
Finance Team	Executes Payment

14. Support Contacts

Support Area	Team
SAP Access Issues	IT Helpdesk
Procurement Questions	Purchasing Team
Invoice Issues	Accounts Payable
Master Data Changes	SAP MM Team

11. Best Practices

- Always verify master data before submission
- Use correct account assignment category
- Post GR immediately after receipt
- Avoid manual pricing changes without approval
- Maintain accurate invoice references

13. End-to-End P2P Snapshot

PR Creation → Approval → PO Creation → Vendor Delivery → Goods Receipt → Invoice Verification → Payment